

rationalizing their losing position as right—it is the markets that are wrong! Why do so many traders double down on a losing trade, despite the obvious failure of the original thesis, rather than admit the error?

We stick to our favorite stories, no matter what facts present themselves. This is the triumph of the narrative over data, ideology over intelligence, politics over facts, emotion over planning.

It's as if your brain is asking, "Who you gonna believe, me or your lyin' eyes?"



The narrative fallacy takes random, mostly unexplainable market action and provides a storyline that we can make sense of. The primary problem with narratives is that they exist to make us feel better—about a stock purchase, an election, or even ourselves. We are too fond of using narratives to describe the world around us. Depictions of facts and figures were not a compelling form of communication for hunter-gatherers.

People hate randomness, do not like to feel powerless over what occurs, and certainly hate being told life is filled with meaningless coincidences. Investors need to remember this whenever they are told a story. Narratives may be entertaining, but they won't make you money.

What narrative are you following?



How come some people have fundamental models of the universe that are wildly off? That is our next discussion.

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[389](#) Cullen Roche, "The Fear Trade Has Been Demolished," *Pragmatic Capitalism* (July 19, 2013).